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KIABI
Global Marketing Strategy



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1. INTRODUCTION

KIABI is a French brand with a rich history of over 40 years. Founded in 1978 in Roncq, France, KIABI has always had one mission: **Making Families' lives easier**. KIABI offers fashion at affordable prices to fit all the young and not-so-young members of the family. And because families are the future, their collections are designed in a sustainable and eco-responsible way. In 2010, KIABI made a significant and exciting entry into the vibrant Portuguese market with four Franchise stores. Now, KIABI wants to expand its empire and open new stores. However, brand awareness is still very low as the competition is very strong in this market. International brands like H&M, Primark and Lefties already have global brand awareness. Furthermore, national brands are very hard to compete against - like MO, which counts as one of the top three clothing brands in Portugal.

Nevertheless, KIABI is eager to gain more market share in Portugal by winning and keeping customers with their fashionable clothes and focusing on sustainability. In this entry, we will explore the factors driving KIABI's expansion into Portugal, the opportunities and challenges it may encounter, and the potential it offers.

1.1 Goal

The goal of this work is to raise brand awareness and create a global marketing strategy for KIABI entering the Portuguese market. Additionally, another goal is to increase the market share of second-hand products. To create a global marketing strategy for KIABI it's important to know the overall mission and values of the brand.

1.2 Approach

KIABI wants to win the Portuguese market so the goal is to increase brand awareness and sales. However, KIABI is a sustainable brand, so another goal is to increase the resale and rentals. This will be introduced in **Chapter 2** where we will explain the *mission and values* shared by KIABI. The next step, which will be conducted in **Chapter 3** is the current *Situation Analysis*. Here, we will identify the strengths, weaknesses, opportunities, and threats of KIABI with a focus on the political and environmental influences. Defining the *Marketing Strategy* is part of **Chapter 4**. Here, we will explain the target group and set measurable goals for KIABI´s global marketing strategy. **Chapter 5** is about the *Marketing Mix*, which includes the Product plan, Price, Promotion and Place. We will modify it to build the global marketing strategy for KIABI with strategic ideas for each section. The **sixth Chapter** deals with the *implementation and control* of previously developed ideas. At the end of this report, we will summarize the most important facts, opportunities and threats and will give recommendations for KIABI´s global marketing actions.

2. MISSION AND VALUES

KIABI, a French clothing distribution company, has missions and values that reflect its commitment to its customers, employees, and society as a whole. While these missions and values may evolve over time, here are the general principles that have been associated with KIABI:

2.1 KIABI's Mission

Making fashion accessible to everyone: KIABI aims to offer trendy and affordable clothing for the whole family, ensuring that fashion is accessible to a wide audience.

Customer Satisfaction: The company strives to meet the needs of its customers by offering a wide range of quality products, services, and enjoyable shopping experiences.

2.2 KIABI’s Values

Accessibility: KIABI is committed to making fashion accessible by offering affordable products without compromising quality.

Respect: The company values respect for customers, employees, suppliers, and the environment in all its activities.

Sense of responsibility: KIABI is committed to acting responsibly when it comes to ethics, sustainability, and fair business practices.

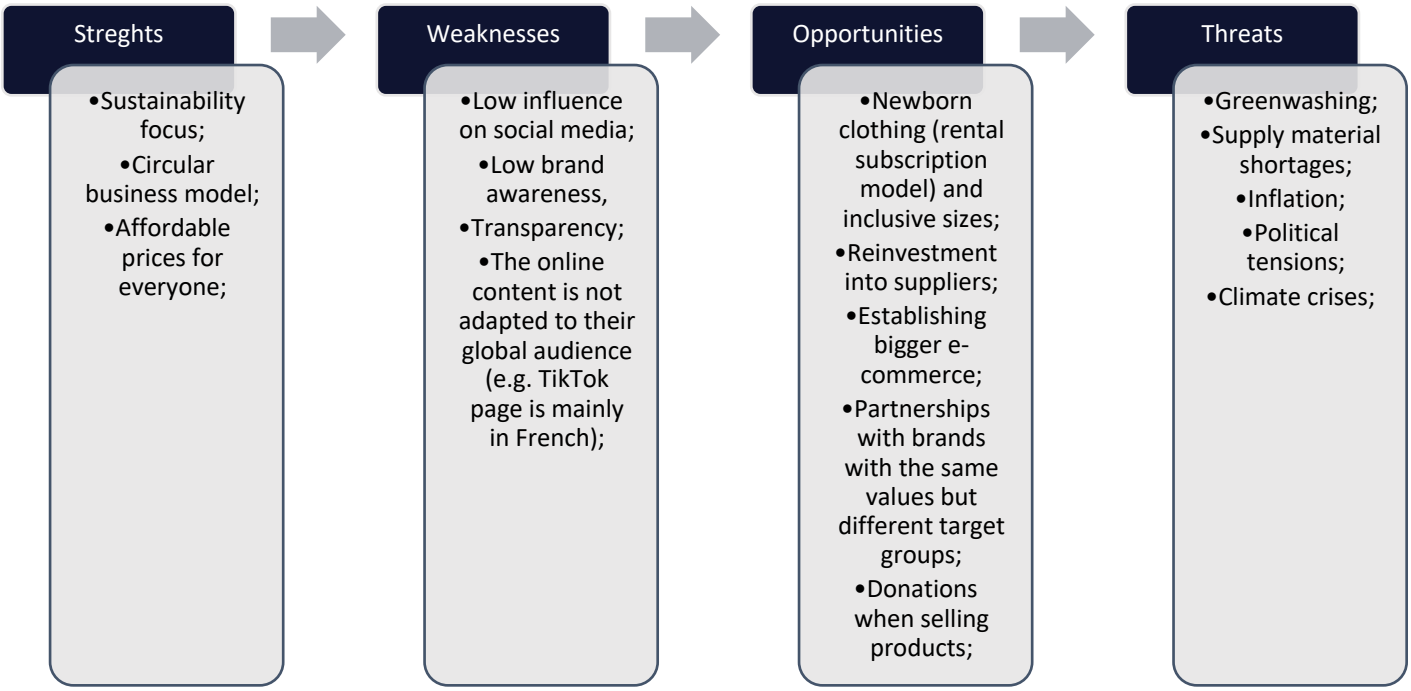
Team spirit: Team spirit and collaboration are encouraged within the company to create a positive work environment.

Innovation: KIABI seeks to innovate to meet the changing needs of customers and adapt to developments in the fashion industry.

Pleasure and conviviality: The company aims to create a pleasant and friendly atmosphere for both its employees and its customers.

3. SITUATIONAL ANALYSIS

3.1 SWOT Analysis



3.2 PEST Analysis

Political

- **<u>Political Stability</u>**
  - On January 30th, 2022, Portugal elected its new political leadership, electing the Socialist Party and António Costa as their Prime Minister, with absolute majority. This means that he and his party now have full control of Portugal's politics. This political configuration will remain in effect until 2026. With this in mind, it's important to recognize this as a significant macro-level as it ensures political stability in Portugal for the foreseeable future, with minimal changes expected on the legal and political fronts

- **<u>Russia VS Ukraine war</u>**
  - With the Russian invasion of Ukraine, the European Union started to face some major issues regarding the energetic markets, more specifically, with the natural gas supply and fossil fuels, from Russia. As a result, Portugal and many other European countries had a major increase in gas prices. On <u>August 4th, Portugal reached its new peak in gas prices</u>, which translates to a gigantic increase in transportation prices.

- **<u>Israel VS Palestine</u>**
  - On October 7th, Hamas (an Islamic Resistance Movement) started an invasion of Israelite territory, due to a long-lasting conflict between the two countries.

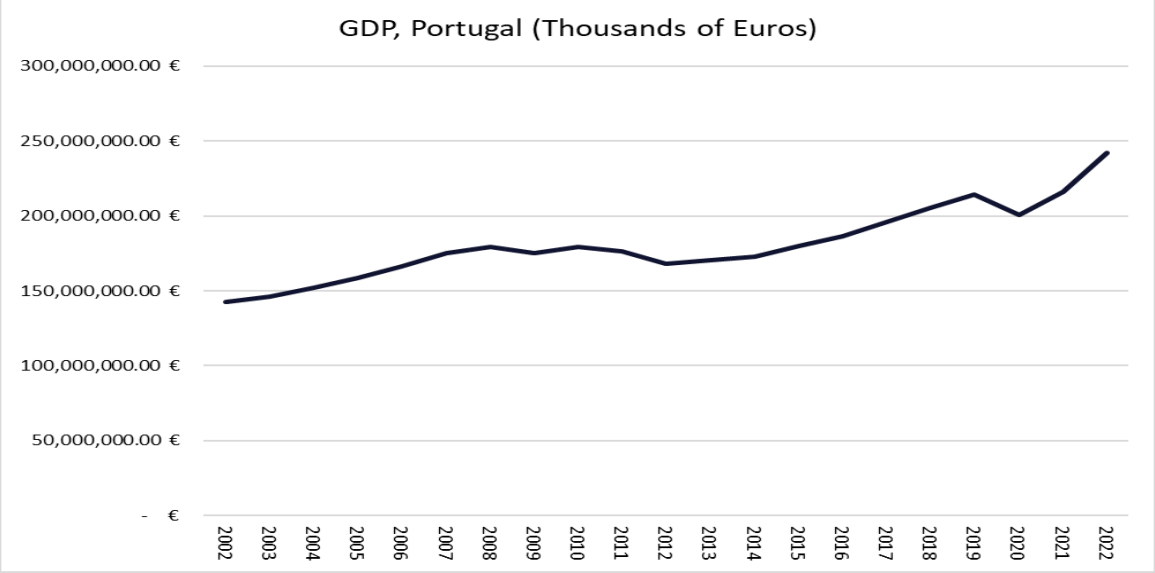
On the same day, Israel's Prime Minister declared the country to be "at war". This, just like the Russian invasion, might have a major effect on transportation and energy supplies. On the other hand, after a 5% increase in fossil fuels prices, the International Energetic Agency declared that the invasion did not affect prices whatsoever, but the markets will remain "on edge".

- **IUC**
  - In the last month, the Portuguese government made a new law that will increase the price of the IUC (Single Circulation Tax). This increase can go up to 598%, which can result in a major impact on distribution costs. This law is still being reevaluated by the government, due to public dissatisfaction.

- **Employment laws**
  - In Portugal, the rights and responsibilities of the working class are defined and protected by the "Código de Trabalho" (Labor Code), which mandates that employers must safeguard these rights.

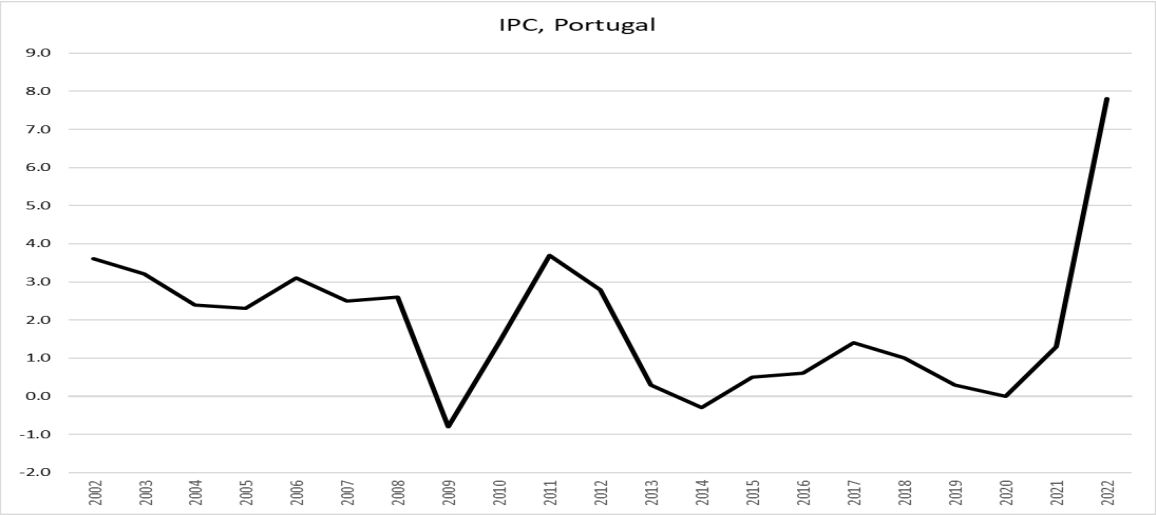
Economic

- **GDP**
  - After Portugal's GDP (PIB) suffered from a small step back due to the COVID-19 pandemic, it had a significant comeback, growing 5.5% in just a year, hitting a GDP of 23 249,46€ per capita, compared to the 21 050,05€ of 2020.



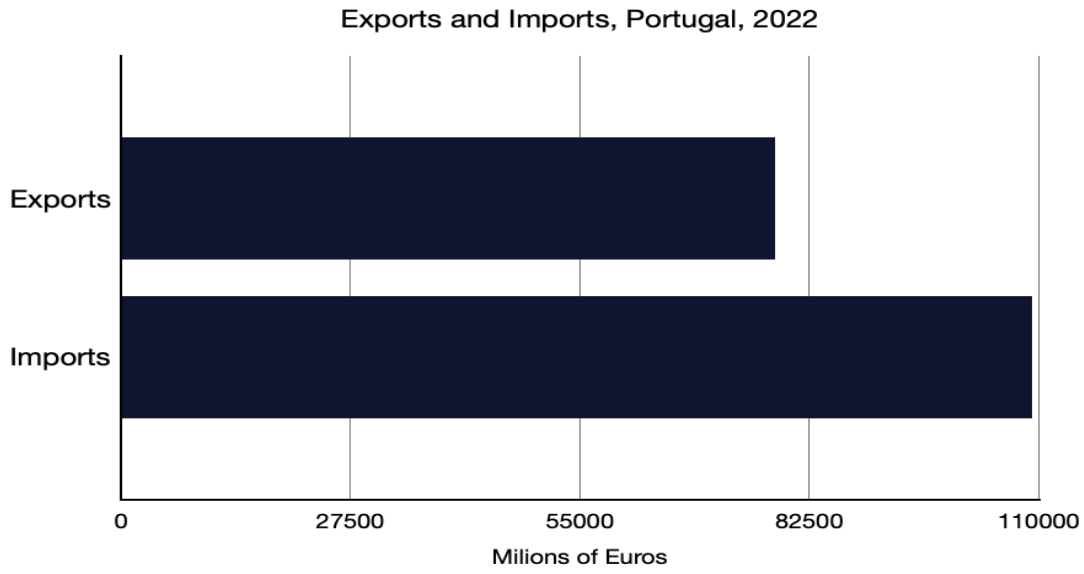
- **Inflation**
  - During the COVID-19 pandemic, the whole world faced an extraordinary increase in inflation, leading to price hikes, especially in food products, fuels, and housing. This inflation phenomenon decreased the Consumer Price

Index, which led to a decrease in consumer expenditures in apparel and footwear.



- **<u>Wage Progression</u>**
  - In October of 2023, the Portuguese government declared its intentions to increase the minimum wage in Portugal to 900€ by 2026, and to make changes to labor laws. This can represent a change for KIABI's current salary policies, but also represents an opportunity, by having clients and consumers earning more money than they currently are.

- **<u>Imports and Exports</u>**
  - According to PORDATA, in 2022, the value of exports was 78.326,1M€ from which 2.174,7M€ regarded apparel and footwear.



- As we can see in the graphic below, in the textile, clothing and leather products sector, Portugal has always exported more than imported, currently growing in exports. Furthermore, this industry is very well perceived by other countries due to the quality of the items and the products used in them.

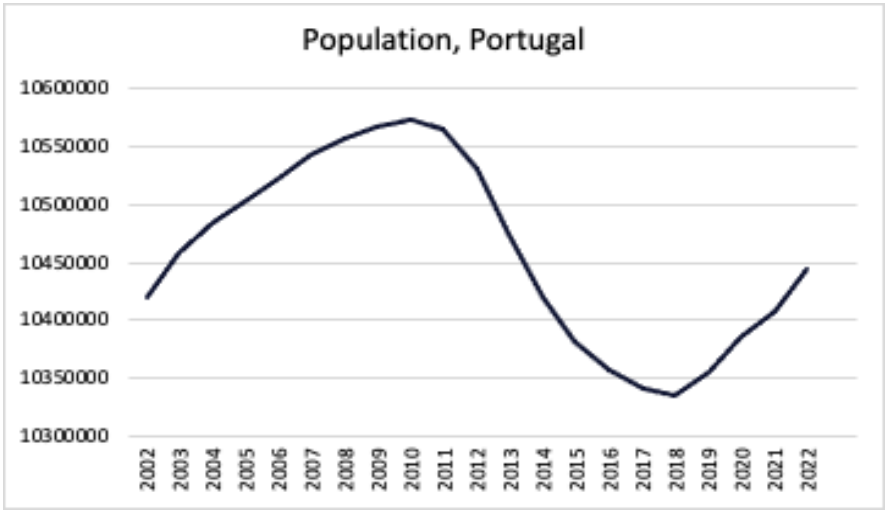


- **<u>Average amount spent on clothing and footwear per family</u>**
  - On average, in 2021, the Portuguese family spent 2.034,9€ on clothing items and footwear, almost matching the amount spent pre-COVID (2019). Since the data for 2022 wasn't available, we also looked into Euromonitor's Passport report, which forecasted growth for Portugal's apparel and footwear industry.

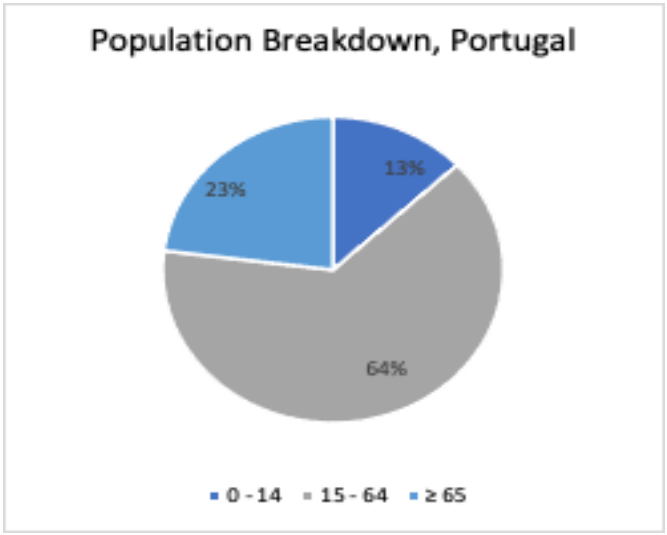


Social

- **Demographics:**
  - The graphs below demonstrate how the population has grown in Portugal in the sociocultural environment. within the recent years. Portugal had 10379007 inhabitants in 2022, of which 5481814 were females and 4897193 were males.

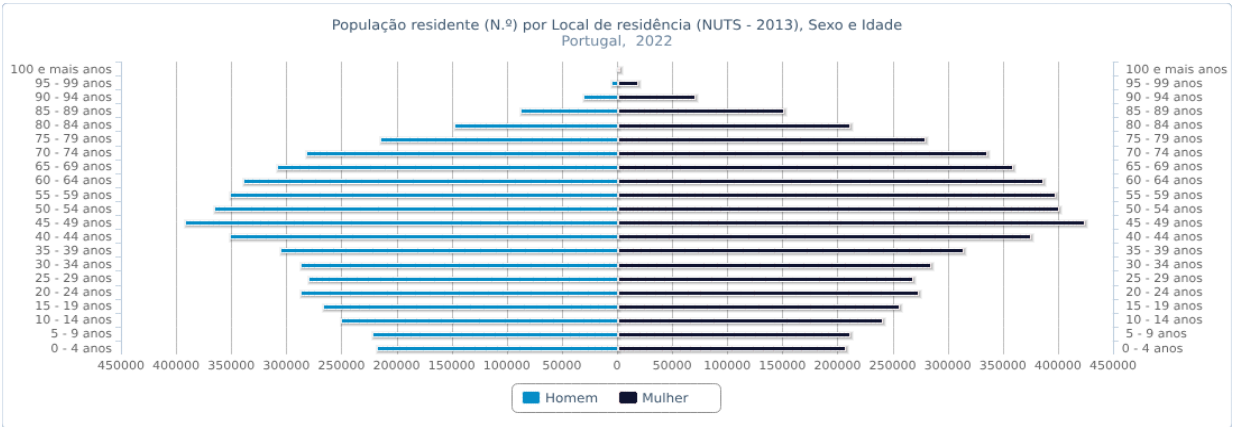


Although people between the ages of 15 and 64 make up the majority in the country, the number of those 65 and older has been steadily increasing over the past several years. This fact raises worries about an aging population since life expectancy at birth is increasing but the average number of children per woman is declining. In 2021, for Portugal, life expectancy at birth was 81 years, while the average number of children per woman was 1,4.



- **<u>Aging Population</u>**

    - As seen before, the Portuguese population is increasingly aging, not maintaining a positive natural growth rate. Therefore, it is necessary to take into account the positioning and target of KIABI's campaigns.



- **<u>Unemployment Rate</u>**

    - According to PORDATA, back in 2022, 6% of the Portuguese population was unemployed. This has a major impact on their monthly wages and purchasing power.

Technological

- **<u>MBWay is getting competition</u>**

    - Since MBWay was released by SIBS in 2015, it had a fast growth, being, in 2023, the second biggest payment method in Portugal, only behind Debit/Credit cards. This growth was mainly due to the lack of competition. Since then, this was defined as a problem, even by the European Union. During this year, Banco de Portugal defined their intentions of creating competition to MBWay, to make the market less of a monopoly. This is important because, even with the gigantic market share of MBWay, it still took a lot of time for brands to adapt to QR Code/NFC payment types. Brands have to keep this in mind when the new payment method is released, and adapt to it as fast as possible.

- **<u>E-Commerce in Portugal</u>**

    - Between 2020 and 2022, e-commerce in Portugal had a huge growth but, ever since the end of the successive lockdowns, mostly due to issues related to the delivery options, e-commerce had a major slowdown, representing only around 7% of apparel and footwear sales in Portugal.

3.3 Porter's 5 Forces

Rivalry among existing competitors

It's possible to affirm that there is high rivalry in the fashion sector in Portugal, particularly given the large number of competitors.
According to Passport Euromonitor, and considering data from 2022, KIABI apparel and footwear share was not calculated, and for kids, their share was only 3%.
Their direct competitors are MO, Primark, Lefties, Pepco, Kik, Shein and Temu, with Pepco, Kik and Temu being new competitors, which requires extra attention. The report shows that Primark and MO lead in the clothing and footwear category, whereas in the Kids category, Zippy and Primark are in a superior position, with Primark trailing behind. Zippy and Chico are examples of indirect rivals since they focus on selling apparel for children rather than the entire family.

Threat of new entrants

Since the market right now is very crowded, it is difficult for any new competitor to enter it. Despite this, the segment KIABI works on is not fully saturated and if any other brand decided to target it, they would probably be successful.

Bargaining power of suppliers

According to KIABI, their suppliers are localized in Ethiopia, Indonesia, India, China, Cambodia, Sri Lanka, Morocco, Myanmar, Pakistan, Turkey, and Vietnam, with China being the biggest provider. This means that China has the most bargaining power, and if they decide to close in on themselves or increase prices, that would affect KIABI a lot.

Bargaining power of buyers

The biggest issue with the bargaining power of buyers is that they can choose to buy from other brands with cheaper prices or that are more sustainable than KIABI. Their buying power can also be affected by changes in the political and economic environment they're in, both for better or for worse.

Threat of substitute products

Clients can look for substitute products like second-hand items, rental options, or alternatives from other brands. They can also create their own clothes, upcycle what they already have and try to repair and alter clothes that otherwise would go to waste. This is something that nowadays is getting more and more popular, especially because of environmental concerns.

4. MARKETING STRATEGY

In order to succeed in our marketing strategy, we focused on two main goals: the first is to **increase brand awareness** of the KIABI brand globally, and the second is to **boost the sales of second-hand products** market share. Considering they will play an increasingly important role in the industry in general, this is exactly the direction where KIABI aims to be relevant from here to the coming years.
KIABI is a brand for all types of families, without a doubt. However, after in-depth research, from the various consumer groups that emerged during the market segmentation phase, we

have selected multiple targets, to listen to the distinct needs of each customer, align with KIABI´s mission to be a brand that is accessible to all, and ultimately raise brand awareness. Thus, with our innovations, we want to meet the needs of people concerned about sustainability, people worried about their financial situation, youngsters and students, people living in both large cities and suburbs, and also foreign tourists.
Examining our approach, we looked at how crucial it is for the French giant of the fashion industry to have satisfied customers and to make sure that its products are accessible to everyone, and through the use of the 4 levers of the marketing mix we aim to apply the necessary tactics to pursue our strategy and thus achieve the objectives set.

4.1 STP

Before deciding how to use the marketing mix's available tools, we must first identify the specific market segments on which we will focus our energies, and in order to do so, we rely on the S-T-P approach, to determine the best potential customers.

4.2 Segmentation

From a *Geographic* point of view:

- **Urban citizens:** who live in big cities like Lisbon, Porto, Braga and Coimbra.
- **Rural residents:** people living outside of big cities, in the countryside or small villages. They have limited access to shopping options and they're more likely to shop online or to travel to larger towns to shop for clothes.
- **Tourists:** they may be looking for affordable souvenirs or for clothes that they can wear on their trips.

From a *Demographic* point of view, KIABI could segment the target in:

- **Young people:** often on a tight budget and looking for affordable ways to stay on trend. They differ in Millennials and Gen Z and a brand like KIABI offers them a way to do this without spending too much.
- **Students:** the specific group of people who are often on a budget and looking for cheap clothes to wear to class or to go out with friends.
- **Families:** parents and relatives who buy clothes for their children and loved ones

From a *Behavioral* point of view:

- **Brand loyalists**: more likely to make repeat purchases from brands that they trust. KIABI could appeal to brand loyalists by providing a consistent shopping experience and by offering loyalty programs.
- **Budgeteers**: shoppers choose carefully how to spend their money, always looking for the best deals, and willing to shop around to find the cheapest prices on clothing. KIABI with BNPL payments, discounts and special offers could appeal to them.

- **Impulsive buyers**: are often driven by emotional appeals and are more likely to buy something if they see it on sale or if it is a limited edition. KIABI could appeal to impulsive buyers by creating a sense of urgency or scarcity around their products.

From a *Psychographic* point of view**:**

- **Trendy shoppers**: shoppers want to stay up to date on the latest fashion trends. Fashion brands like KIABI could allow them to do this without having to spend a lot of money.
- **Eco-economic consumers:** those who make purchasing decisions based on both environmental and economic considerations. Since they are concerned about the impact of their consumption on the planet, but also mindful of their budget, KIABI could be the right choice for them.
- **Out-of-home consumers**: those who are seeking activities, social interactions and are open to new experiences. KIABI with store experiences could answer their needs.

4.3 Targeting

The targets that we believe could be the best business opportunities for KIABI are:

- **Eco-economic consumers**, since we plan to increase the production of sustainable clothes, produce special eco-friendly collections, host eco-friendly initiatives and gift second-hand items to educate and push customers to buy second-hand alternatives.
- **Budgeteers**, since we provide the chance to buy with BNPL payments and a rental subscription service that could be split.
- **Middle-class parents** with Out-of-home advertising on places frequently visited by kids.
- **Big families** with family-oriented bundle deals.
- **Young Portuguese people and students** by investing in influencer marketing and thus forming partnerships with Portuguese influencers.
- **Out-of-home consumers,** providing store experiences with pop-up stores.
- **Urban citizens and rural residents,** but we also want to attract **tourists** by using the English language as a way of reaching an international audience besides Portuguese citizens.

4.4 Positioning

Through the breakthroughs of our strategy, we want to position KIABI as a brand open to innovation. In a new market like Portugal, the French company's lack of brand awareness could be a disadvantage, but it could also be an opportunity to improve its brand image from the bottom, delivering its customers a sense of freshness and becoming the novelty on everyone’s lips in the clothing industry for the coming years.
Its commitment to all families for positioning itself as an inclusive and receptive brand to the consumers’ needs will allow it to stand out from its main competitors as an accessible and satisfactory solution.

4.5 Competitive Advantages

The company positions itself as the first option for consumers through a combination of multiple distinguishing elements:

- Affordable prices
- Company's approach to producing sustainable clothes
- Being seen as the favorite brand amongst families

All these elements allow KIABI to gain ground over its competitors and establish itself as the leader in the Portuguese market.

5. MARKETING MIX

5.1 Product

In the case of KIABI, a global fashion retailer, the products are clothes. To be precise, affordable clothes for families from young to old. However, clothes nowadays are not only clothes, it's about fashion and expressing yourself. Therefore, customers do not only want cheap clothes, but also apparel that follows the latest fashion trends and is still affordable. Customers use them every day and in different situations. Therefore, KIABI provides clothing for all occasions.

The fashion market however has strong competition. There are numerous successful international and national competitors in Portugal. Primark, Lefties, Pepco, and the Portuguese brand MO are well-known in the market and have strong brand awareness. Regarding the similarity of the products, all brands offer pretty much the same: affordable clothes for children, Men and Women, covering everything from casual and athletic wear to business attire.
However, KIABI tries to use its unique selling proposition as they are not only offering all those products but focusing on sustainability, which is becoming more and more important to customers nowadays.

KIABI should continue to focus on and expand the range of products made out of sustainable materials, like recycled fabrics to reach their goal of being **100% sustainable and eco-friendly**. Additionally, they can introduce **special collections with limited eco-friendly editions** in collaboration with local artisans or environmental organizations (e.g. *Quercus*, a Portuguese environmental organization founded in 1985; and the *Portuguese Confederation of Environmental Protection Associations* (CPADA), the largest environmental organization in Portugal).
KIABI can also launch a new **rental subscription model service for newborn and baby clothes**, where the clothes can be returned and exchanged for new ones as soon as the babies outgrow them. All this is aimed at eco-conscious parents looking for sustainable yet budget-friendly options.
Another Idea would be the offering of **subscription thrift boxes** where customers receive curated pre-loved KIABI items based on their style preferences. Subscribers can then keep the items they like & return the rest, so this idea promotes sustainable fashion choices through a subscription model.
Regarding their different subscription models, KIABI can also start a partnership with the company *Split*, which allows the customers to **split their subscriptions with other people**. That partnership can be either limited to for example new items of a collection or it can be applied to all kinds of subscription models the brand offers. Packaging is also part of the

product plan. KIABI should aim for 100% **recyclable packaging** and thereby focus on cardboard boxes for shipment and paper bags instead of plastic bags.

5.2 Price

Referring to KIABI, the pricing position is in the lower price segment. The brand is about affordable and sustainable eco-friendly clothes for the whole family.
They **shouldn't decrease their prices** further as cheap clothes are usually associated with low quality and unethical production.

New Ideas for KIABI can be the **creation of family-oriented bundled deals** that encourage customers to purchase multiple products at discounted rates which enhances customer value. To make a positive impact on society and the planet, the brand can **allocate a certain percentage of every product sale to charitable causes** which emphasizes KIABI's commitment to social responsibility while also creating a positive brand image.
Another idea for KIABI would be a **second-hand gift item** to the customers if the total price of their purchase is greater than a certain amount (for example 50€). This supports KIABI's circular business model while also educating their customers to buy second-hand clothes and of course, nudging them to buy more to reach the set amount.

5.3 Promotion

KIABI can use digital marketing including **social media marketing** and the use of **E-Mail** and **newsletters,** with a focus on the brand sustainability efforts and affordability.
Regarding their social media platforms such as Instagram and TikTok, they have to make sure again of their global accessibility, because, at the moment, the majority of their content is in French, so KIABI should change that to **English** to reach an international audience.
With their social media platforms, they have the opportunity to create **engaging content**, show their products and run advertising campaigns specifically for their target group. Social Media marketing allows direct interaction with the consumer and is especially beneficial to reach younger demographics. Therefore, KIABI should follow the current social media trends to win brand awareness in younger generations. Social media, however, is not only about trends but the values and mission of KIABI that can be shared and communicated easily to the users. Furthermore, KIABI can utilize **influencer marketing** to partner with Portuguese influencers that promote a sustainable and eco-friendly lifestyle and share similar values for product endorsements. Their reviews and content creation are also helpful to increase brand awareness online. Besides digital marketing, KIABI can host **events** themselves or sponsor other (eco-friendly) events like fashion shows and community initiatives to improve brand visibility and create positive associations by hosting or sponsoring events that help social causes.
As KIABI's main target group are families and parents, the brand should not neglect **out-of-home advertisement** on public transport like buses and metro stations, highways, and also places close to kindergartens and schools, capturing in this way the attention of their main target group in places they probably visit frequently.

The customers of KIABI are most ready to buy during major seasonal shopping events like *Black Friday*, *Cyber Monday,* and Holiday seasons so **promotions** or **discounts** during these times can significantly boost sales. Another occasion is after payday as they usually are more willing to spend money shortly after that. Additionally, during local events and festivals, especially if they are related to fashion or lifestyle consumers are more likely to make impulse purchases. Regarding consumers who prefer to **buy online**, they are most active in the evening and on weekends as they have more free time to browse the website. KIABI has to understand the patterns of its customers and align them with its marketing efforts to maximize its promotional impact and thereby increase its sales. Regular market research can help gain insight into their target groups' specific behavioral habits and preferences.

Other great times for KIABI to promote their products are their customers' **birthdays** and **loyalty anniversaries,** so that they can send them personalized promotions that further enhance customer loyalty, make them feel appreciated, and also encourage them to make more purchases. As already mentioned, major shopping holidays are events where consumers are most ready to buy. Keeping that in mind, the best time for promotion is some time in advance, because participating in these events can lead to increased online traffic and purchasing enthusiasm for the buyers.

5.4 Place

KIABI already uses a combination of multiple distribution channels, but there is always room for improvement.
Regarding their **E-commerce Platform,** they could optimize the online store for easy navigation and smooth transactions. Additionally, KIABI should add the **direct shopping feature** to all of its social media accounts on platforms such as **Instagram** and **TikTok**, to increase accessibility and convenience for its customers as this will give them the opportunity to purchase the garments they see on the social media posts directly without having to switch apps and spend a long time searching for the desired product (they already do it on the Italian and Spanish profile but not on the French and Portuguese

In terms of their **physical stores**, they have to ensure that the brand has a presence in key cities like Lisbon and Porto and increases its visibility with stores in big shopping malls or the city center instead of locations in the suburbs. That can be for example done by opening **Pop-up Stores** to create immersive customer experiences, allowing customers to feel and touch the products. One of the benefits of that would be that it acts as a kind of test-run to test out different locations before investing a lot of money in stores that may fail. Especially for the initial phase, KIABI should also use **Shop in Shop***,* meaning that KIABI uses the space of national supermarkets like Auchan. By doing so, KIABI can build brand awareness. Once the brand has achieved customers, sales, and brand awareness, KIABI can start concentrating on the market using only its own stores. As KIABI already has some franchise stores in Portugal but wants to focus on owner-managed stores in the future, we will not consider opening more franchise stores.

Regarding their distribution channels, KIABI has to make sure of their global accessibility. That means enhancing the **website** and **mobile app** in English and Portuguese as well as other widely spoken languages, catering to both local and international audiences, enabling global sales and brand recognition.

The competition of KIABI operates as well with a variety of distribution channels like physical stores, e-commerce platforms or mobile apps.

6. IMPLEMENTATION AND CONTROL

To fully implement our strategy, we should focus on establishing a **Strategic Business Team** that can fully dedicate itself to the Portuguese market, with the employment of qualified professionals and the recruitment of people with the right experience to apply the tactics of our strategy and successfully penetrate the market.
To successfully implement this marketing strategy KIABI should start by choosing cities to concentrate on.
After choosing the location in each city, KIABI should put much more effort into the promotion, since it already has a product plan so far. Within the promotion part, KIABI should concentrate on **social media marketing** and **pop-up store events**, while **outdoor advertising** and **KIABI events** should be implemented in the later course.
The other parts of the marketing mix need to be considered over the next few years, as the global marketing strategy is a long-term plan.
To measure the success of our strategy and eventually understand our mistakes we want to use the following KPIs and keep track of them in case we notice something we need to change along the way.

KPI´s:

- **Sales increase** (%)
- **Generation of leads** (CPA, CPL, CPC)
- **Website metrics** (traffic, average session duration, bounce rate, conversions rate)
- **Social media metrics** (reach, engagement, interactions, followers, leads, conversions)
- **Loyalty program** (new members, conversion rate, repeat purchases)
- **Vanity Metrics** (followers/likes)

7. CONCLUSIONS

In conclusion, we believe that KIABI has the potential to increase its market share and become a dominant player in the Portuguese market if it adopts the previously discussed strategies, such as spending money on newsletters, social media marketing, E-Mail marketing, and “shop in shop” options to raise brand awareness. Once the brand has some loyal customers and market share, it can experiment with new business models and more locations, also outside of major cities.
Overall, we feel that our global marketing strategy could be very important for a business to succeed in the market. It is not just about knowing the company’s values,

customers or competitors, but more about considering it all and building a long-term strategic perspective.